HUGHES COMMERCIAL REALTY GROUP

TO: **Stony Plain Land Inc.**
(hereinafter referred to as the "Vendor")
#600, 12220 Stony Plain Road,
Edmonton, Alberta, T5N 3Y4

FROM: **Business as a Force for Good**
(hereinafter referred to as the "Purchaser")
c/o Hughes Commercial Realty Group
#302, 10171 Saskatchewan Drive
Edmonton, Alberta T6E 4R5

RE: **LETTER OF INTENT | Three - 1.53 Acre Lots (4.59 Acres) | Stony Plain Power Centre | Business Park**

We are pleased to set out hereunder the broad terms within this letter of intent (the "LOI") upon which we would be prepared to enter into a purchase / sale agreement (the "PSA") to move forward and purchase the above-mentioned property (the "Property") currently owned by the Vendor as outlined within Schedule "A" as follows:

1. Purchase Price: **$2,754,000 ($600,000/acre)**

2. First Deposit: **$80,000** fully refundable and payable in trust to Hughes Commercial Realty Group upon conditional acceptance of the PSA.

3. Purchaser Conditions: **60-days** for Property due-diligence and construction financing.

4. Second Deposit: **$140,000** becoming non-refundable together with the first deposit, payable in trust to Hughes Commercial Realty Group on satisfaction and removal of the Purchaser's conditions.

5. **Closing Period:** Following the satisfaction or waiver of the Purchaser's conditions, Closing shall occur within fifteen (15) days of both: (i) each 1.53-acre lot being fully municipally serviced to the property line, and (ii) separate, transferable fee-simple titles being issued for each individual lot. Further specifics regarding these requirements, including the sequence of condition removal and finalization of servicing, will be more fully detailed in the PSA.

6. **VTB / Vendor Financing:** The Vendor agrees to provide the Purchaser with Vendor Take-Back (VTB) financing in the amount of $1,652,400 (representing 60% of the Purchase Price), to be advanced on the Closing Date.

   The VTB shall have the following terms:

   - **Interest:** Prime + 3% per annum, accruing monthly as Payment in Kind (PIK). No cash payments shall be required prior to the Payment Commencement Trigger.

   - **Payment Commencement Trigger:** Interest and principal payments shall commence upon the earlier of: (i) the issuance of a Certificate of Occupancy for the adjacent big-box anchor retailer, or (ii) 18 months post-closing.

Balance on Closing: The balance of the Purchase Price, estimated at **$881,600** (subject to standard adjustments), shall be paid by the Purchaser to the Vendor on the Closing Date.

7. **Subordination for Construction Financing:** The Purchaser may obtain a construction mortgage in first priority on title for the sole purpose of financing land and building improvements. In such case, the Vendor agrees to subordinate the VTB to the construction mortgage, provided the Purchaser delivers prior written notice including the identity of the lender, loan amount, and a summary of key financing terms. The Vendor shall execute any reasonably required subordination documents within fifteen (15) business days of such request, provided the construction financing is used solely for land improvements that enhance the value of the Property. The Vendor shall not unreasonably withhold or delay cooperation.

8. **Purchase and Sale Agreement:** Upon mutual execution of this LOI, the PSA shall be drafted by the Brokerage and reviewed as necessary by the Vendor's and Purchaser's respective solicitors, and shall be executed in a timely manner by both parties, acting in good faith.

9. **Letter of Intent:** This LOI is an expression of the present intention of the Vendor and the Purchaser to continue negotiations with the goal of reaching a mutually satisfactory agreement. Except for the provisions set forth in Sections 10, 11, 12, and 13, of this LOI, which shall be binding and shall survive the termination of this LOI, this document is not a legally binding agreement and is intended only as a summary of business terms, subject to the negotiation and execution of the PSA and related ancillary documents.

10. **Confidentiality:** Each party, along with its respective representatives, officers, employees, solicitors, accountants, lenders, and other advisors, shall keep in strict confidence and shall not release any information concerning this LOI or the transaction contemplated herein without the prior written consent of the other party. This Section 11 constitutes a binding obligation and shall survive for a period of one (1) year from the date first written above on this LOI.

11. **Exclusive Negotiations:** In consideration of the expenses incurred and to be incurred by the Purchaser in connection with the transaction contemplated herein, the Vendor agrees that, for a period of ninety (90) days following the full execution of this LOI (the "Exclusivity Period"), the Vendor shall not initiate, solicit, entertain, negotiate, accept, or discuss, directly or indirectly, any proposal or offer from any third party to acquire all or any portion of the Property (an "Acquisition Proposal"). The Vendor shall also not provide any non-public information to any third party in connection with an Acquisition Proposal or enter into any agreement, arrangement, or understanding requiring it to abandon, terminate, or fail to consummate the transaction with the Purchaser.

12. **Assignment by the Purchaser:** The Purchaser shall be entitled to assign its interest under this LOI or the PSA to any other person that is an affiliate (as defined under the Business Corporations Act (Alberta)) of the Purchaser or an entity in which the Purchaser has an ownership interest.

13. The Vendor and Purchaser hereby acknowledge and agree that **Darin Luciow and Scott Hughes** with Hughes Commercial Realty Group o/a RCC Real Estate Services Ltd. (the "Brokerage") has disclosed to the Vendor and the Purchaser that the Brokerage is acting on behalf of both parties in a dual common law transaction herein, and any commissions payable shall be paid by the Vendor to the Brokerage, per a separate agreement. As a dual agent, the Brokerage owes fiduciary duties to both the Vendor and Purchaser. As such, the Brokerage will maintain strict confidentiality regarding any information shared by either party, unless otherwise instructed in writing or required by law to disclose such information. Furthermore, the Brokerage will diligently perform their duties, exercising reasonable skill, care and diligence, providing fair and honest representation to both parties to facilitate the transaction in the best interests of both parties.

PAGE FOR SIGNING IS BELOW

14. The Purchaser leaves this LOI open for consideration to the Vendor.

ACCEPTED AND AGREED by the Purchaser this day of _____.

Business as a Force for Good, Inc.

Per: _____
Authorized Signing Officer

ACCEPTED AND AGREED by the Vendor this day of _____.

Stony Plain Land Inc.

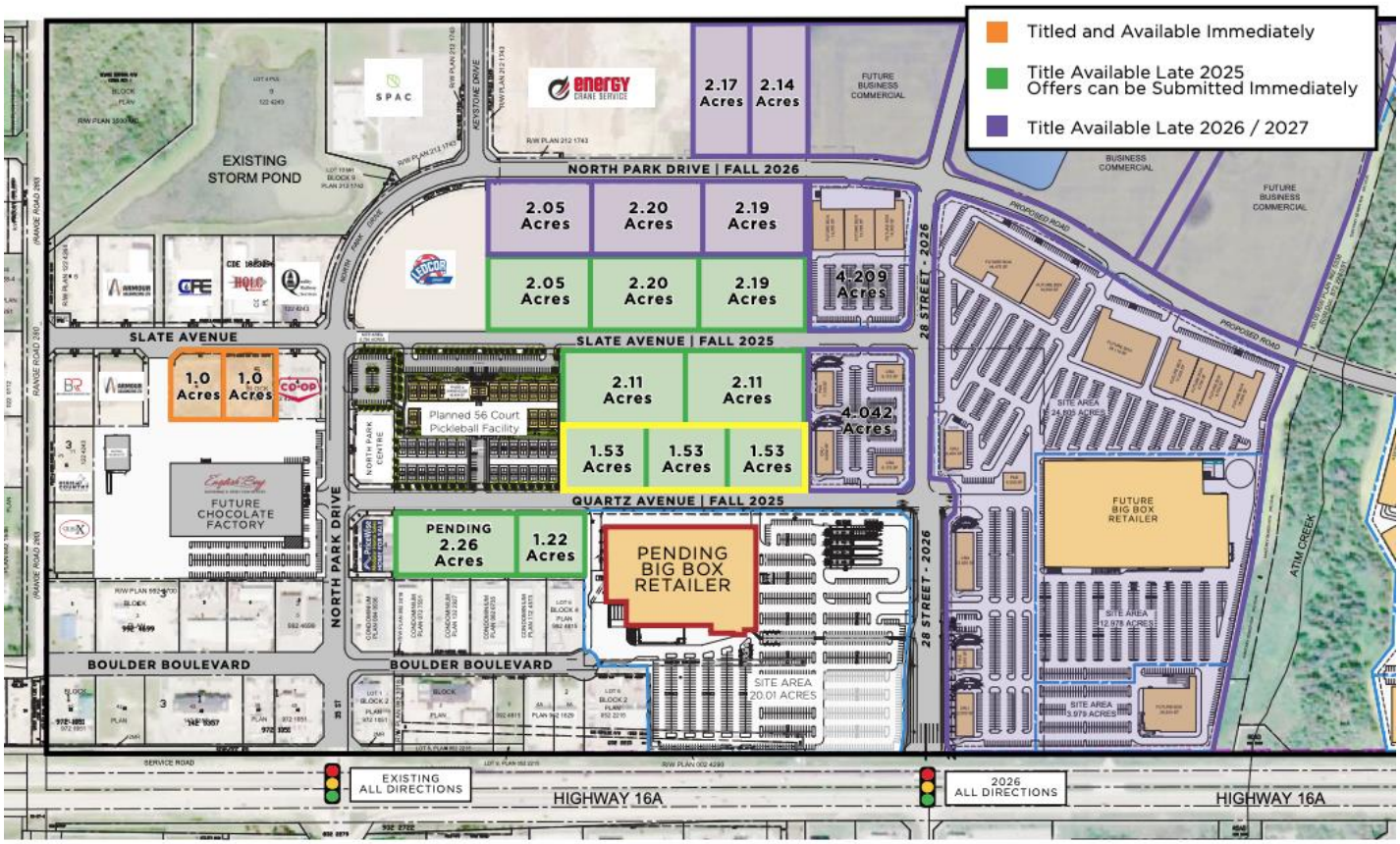
Per: _____
Authorized Signing Officer

Date of Acceptance

- final signing of this LOI occurred on _____
- initials of the party which last signed _____

HUGHES COMMERCIAL REALTY GROUP

Schedule "A" – the Property

The Properties outlined in yellow in the photo below and municipally described below, together with all appurtenant rights and interests.

- **Highway 16A | 28 Street, Stony Plain, AB**
- Three lots of approximately 1.53 acres each, totaling 4.59 Acres